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AS & A Level**Cambridge International Examinations**

Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice (Core)

9708/11**October/November 2014****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak Mushtaq

Solved with reasons!

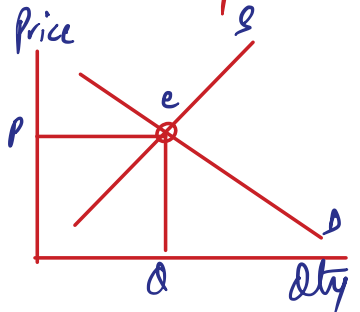
This document consists of **13** printed pages and **3** blank pages.

Price mechanism²

1 What are involved in the allocation of resources in a market economy?

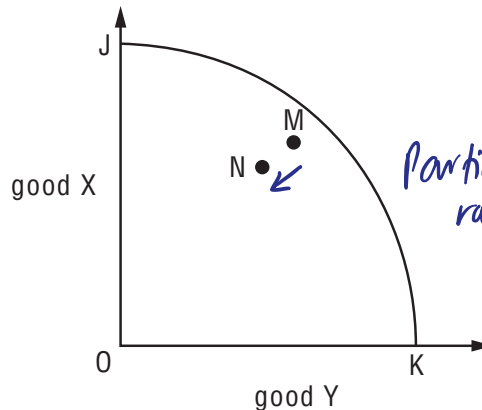
- A factors of production and subsidies for essential goods
- ☒ B prices and choices
- C production possibilities and trade restrictions
- D unlimited wants and public goods

Prices are determined by the forces of demand and supply, where prices provide signal to the producer to allocate resources in profit maximizing manner



2 The curve JK in the diagram is an economy's production possibility curve.

Point inside the PPC is unemployment
Actual ↓
Unemployment ↑



$$\text{Participation rate} = \frac{\text{Labour force}}{\text{Total population}}$$

What could cause the economy to move from point M to point N?

- A a decrease in the dependency ratio
- B a decrease in the population of working age
- C an increase in the participation rate
- ☒ D an increase in the unemployment rate

3 In the twentieth century the nature of a typical car assembly plant changed. The industry had fewer firms, they operated on larger sites and they had more automated machinery.

How is this change most likely to have affected the relative use of factors of production in the industry?

	increased relative use	decreased relative use
A	capital and enterprise	labour and land
B	enterprise and labour	land and capital
C	labour and land	capital and enterprise
☒ D	land and capital	enterprise and labour

↓ larger site ↓ automated machinery ↓ fewer firms

3

4 What is meant by 'the value of money'? → *purchasing power*

- ☒ A the amount of goods that can be purchased with a given sum of money
- B the amount of wealth stored in the form of money
- C the cost of production of money
- D the opportunity cost of holding wealth in the form of money

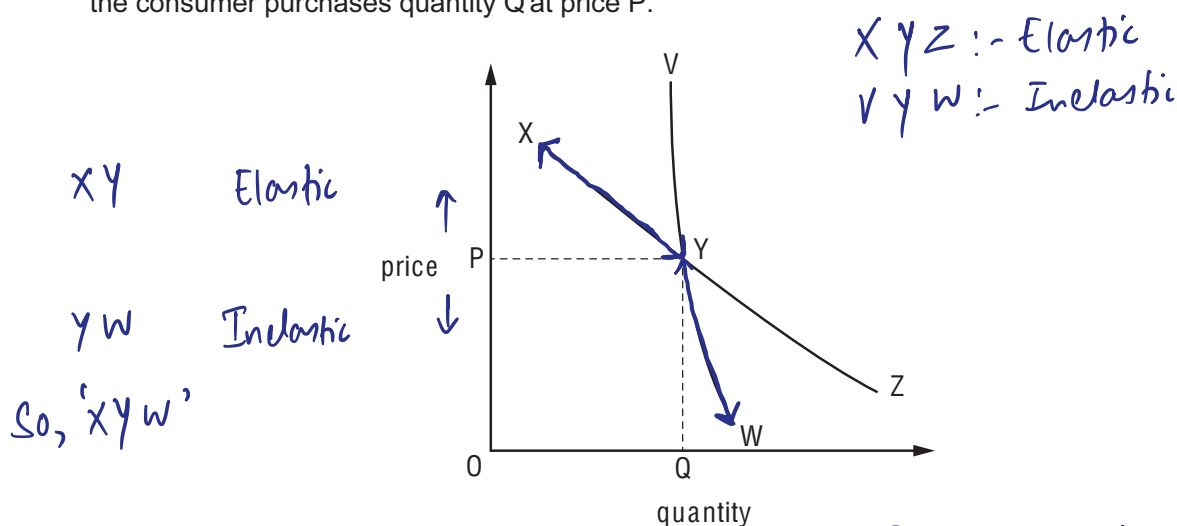
5 What might shift an individual's demand curve for petrol to the right?

- ☒ A a fall in the price of cars
- B a fall in the price of public transport
- C a rise in the price of parking
- D a rise in the price of petrol

Cars
Prices ↓
QD ↑

petrol
Demand ↑

6 The diagram shows a consumer's short-run and long-run demand curves for coconuts. Initially, the consumer purchases quantity Q at price P.



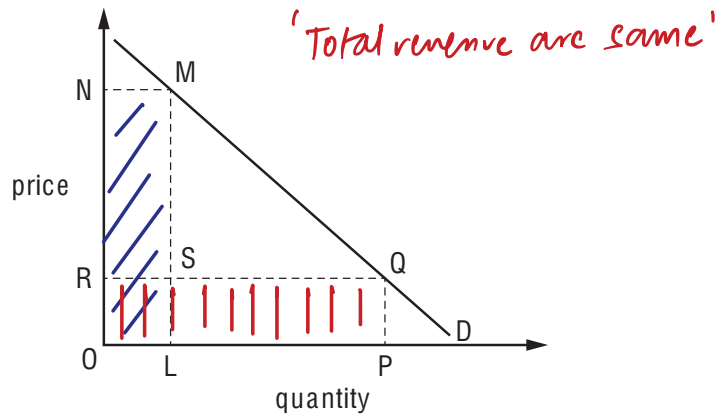
If the price of coconuts increases from P, the consumer's short-run response is greater than his long-run response. If the price decreases from P his short-run response is smaller than his long-run response.

Elastic demand
Inelastic demand

What is the consumer's short-run demand curve?

- A VYW B VYZ ☒ C XYW D XYZ

- 7 The diagram shows the demand curve for a product.



If the rectangle OLMN is equal in area to the rectangle OPQR, which statement is correct?

- ✓ **A** A rise in price from OR to ON results in the same proportionate fall in quantity demanded.
- B** Consumer surplus falls by RSMN if the price rises from OR to ON.
- C** The price elasticity of demand is unitary for all changes in price. [No] (only in between area)
- D** Total revenue falls by MSQ if the price rises from OR to ON.
 Not the area of TR

- 8 Which elasticity values indicate that cars are normal goods ^{+ve} and that petrol is a complement ^{-ve} to car use?

	income elasticity of demand (YED) for cars	cross elasticity demand of (XED) for petrol relative to changes in car prices
A	YED is negative	XED is negative
B	YED is negative	XED is positive
✓ C	YED is positive	XED is negative
D	YED is positive	XED is positive

YED measures the responsiveness to the percentage change in quantity demanded to the percentage change in income

$$YED := \frac{\% \Delta \text{ in } QD}{\% \Delta \text{ in } Y} \Rightarrow +ve, -ve, 0$$

Normal, inferior and necessity

XED measures the responsiveness to the percentage change in quantity demanded for good A to the percentage change in price of good B.

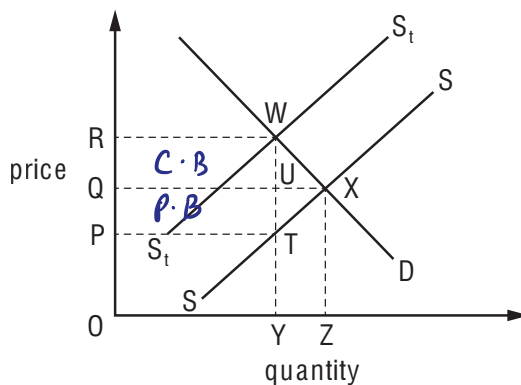
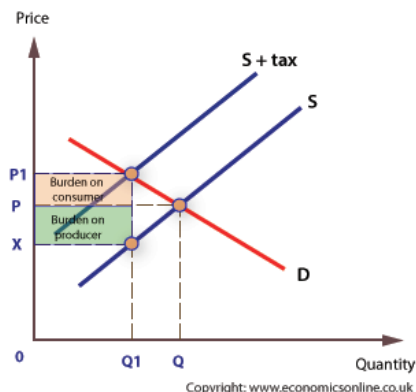
$$XED := \frac{\% \Delta \text{ in } QD \text{ of good A}}{\% \Delta \text{ in price of good B}} \Rightarrow +ve, -ve, 0$$

Substitutes, complements, unrelated goods

5

Per unit tax

- 9 A specific tax is placed upon each bottle of perfume sold. In the diagram, SS is the supply curve before tax and $S_t S_t$ is the supply curve after tax.



Consumer + Producer Burden

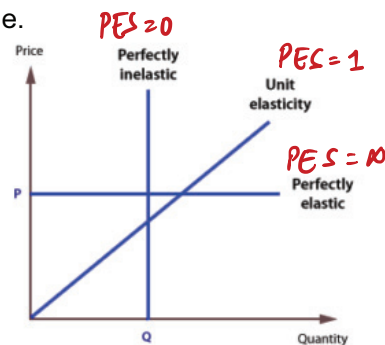
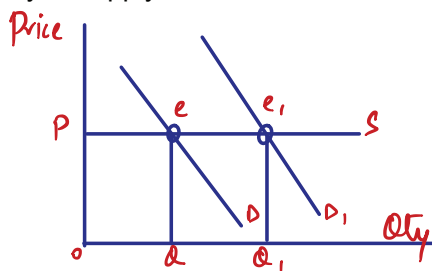
Which area represents the revenue received by the government from the tax?

- A ORWY B PQUT ☒ C PRWT D QRWU

- 10 When demand for a good increases, equilibrium price stays the same.

What is the good's elasticity of supply?

- A -1
B zero
C +1
☒ D infinite



- 11 A manufacturer has estimated that the price elasticity of supply of ice cream is +1.5.

If the demand for ice cream rises and price increases by 10%, how much more will the manufacturer supply to the market?

- A 0.15% B 1.5% ☒ C 15% D 150%

$$PES = \frac{\% \Delta \text{ in } QS}{\% \Delta \text{ in price}}$$

$$+1.5 = \frac{x}{10\%}$$

$$x = 15\%$$

- 12 Consumer X is the largest of five consumers and buys 50% of sales.

The table shows the quantity of the good demanded by consumer X and the market supply of the good.

price \$	demand from consumer X	market supply
4	20	28 $\times 50\% = 14$
6	16	32 $\times 50\% = 16$
8	12	40 $\times 50\% = 20$
10	10	45 $\times 50\% = 22.5$

What would be the market equilibrium price?

- A \$4 ~~B~~ \$6 C \$8 D \$10

- 13 The difference between what consumers pay for a product and what they are prepared to pay is known as

- A a shortage.
~~B~~ consumer surplus.
 C excess demand.
 D opportunity cost.

same

choice

- 14 What types of externalities arise from

- 1 a firm creating an extra supply of trained labour and,
negative
 2 the excessive noise made by a householder cutting his lawn

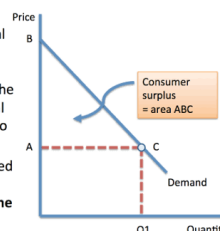
Available for all firms!

	1	2
A	negative production externality	<u>negative</u> consumption externality
B	negative production externality	positive consumption externality
C	<u>positive</u> production externality	<u>negative</u> consumption externality
D	<u>positive</u> production externality	positive consumption externality

What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



- 15 The table shows the total amount consumers are willing to pay for different quantities of good X and the total external benefits that arise from the consumption of X.

quantity of good X (000 units)	<i>Private</i> consumers' willingness to pay (\$000)	total external benefits (\$000)
1	100	20
2	180	38
3	240	54
4	280	68
5	300	80

Serial Benefit

*\$ 348 (Difference:-)
\$ 380 \$32000*

What is the value of the *Additional* marginal social benefit when 5000 units are consumed?

- A \$12 000 ☒ B \$32 000 C \$80 000 D \$380 000
- 16 A company applied to build a supermarket on the edge of a town near a river. Permission to do this involved an expensive planning process with the local government. In order to gain approval the company agreed to build a bridge across the river near the supermarket.

What would be included in a *Externalities* social cost-benefit study of this application which would **not** be included in a private calculation? *only takes private cost and private benefit*

- A the value of the extra customers the supermarket gets by people using the new bridge
- B the value of the land used which could have been used for housing (*opportunity cost*)
- C the value of the time of the local government's officials in the planning process
- ☒ D the value of the *Externalities* time saved by people using the new bridge to get to work in the town

- 17 A good is most suitable to be provided by the market if it is

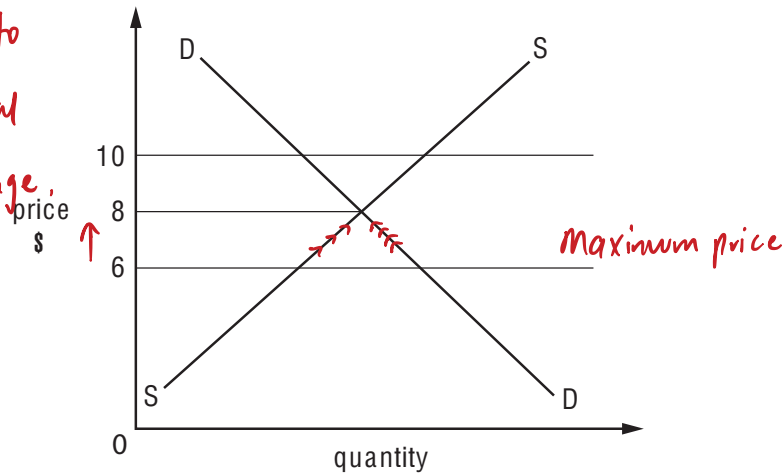
- A excludable and non-rival. (*Quasi public good*)
- ☒ B excludable and rival. (*Private good*) e.g. piece of cake
- C non-excludable and non-rival. (*Public good*)
- D non-excludable and rival. (*Quasi public good*)

Rival, consumption by one individual reduces the consumption for other individual

Excludable, payment by one individual excludes the other individual from enjoying the benefit of that particular good

- 18 In moving towards a market economy government price controls were removed. In the diagram below, the government initially set an effective maximum price. *(Below the equilibrium)*

Maximum price leads to shortage, and removal of it eliminates shortage, bringing back to price mechanism!

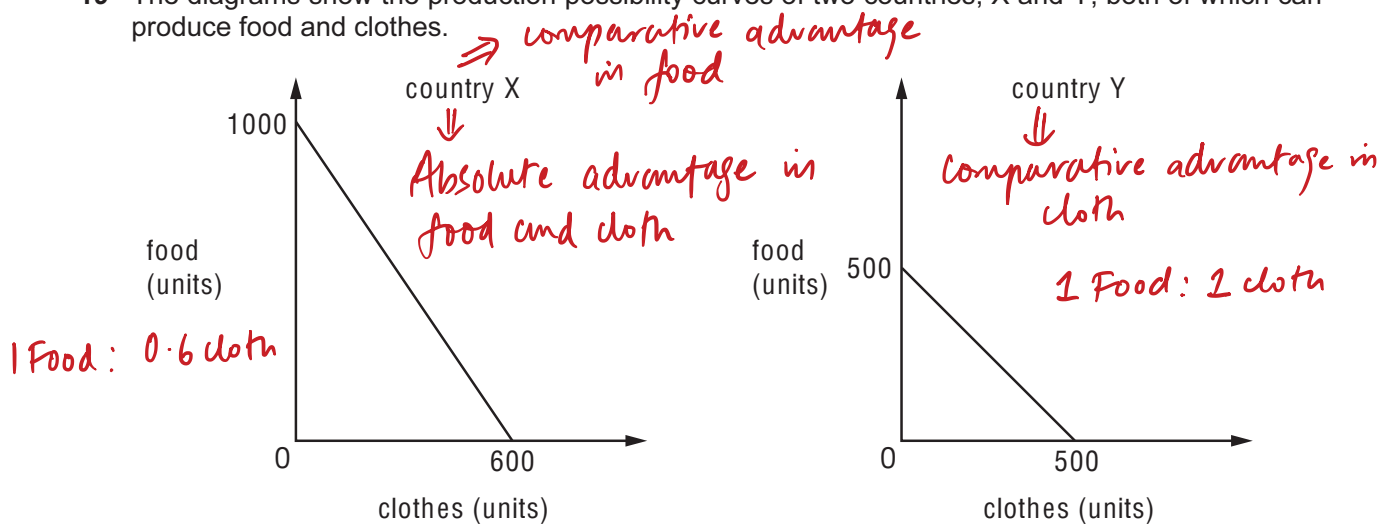


What effect was there on price and quantity when the government removed the maximum price?

	price	quantity
A	falls from \$10 to \$8	removes shortage
B	falls from \$10 to \$8	removes surplus
☒ C	rises from <u>\$6 to \$8</u>	<u>removes shortage</u>
D	rises from \$6 to \$8	removes surplus

Absolute advantage :- More Quantity
 Comparative advantage :- lower opportunity cost

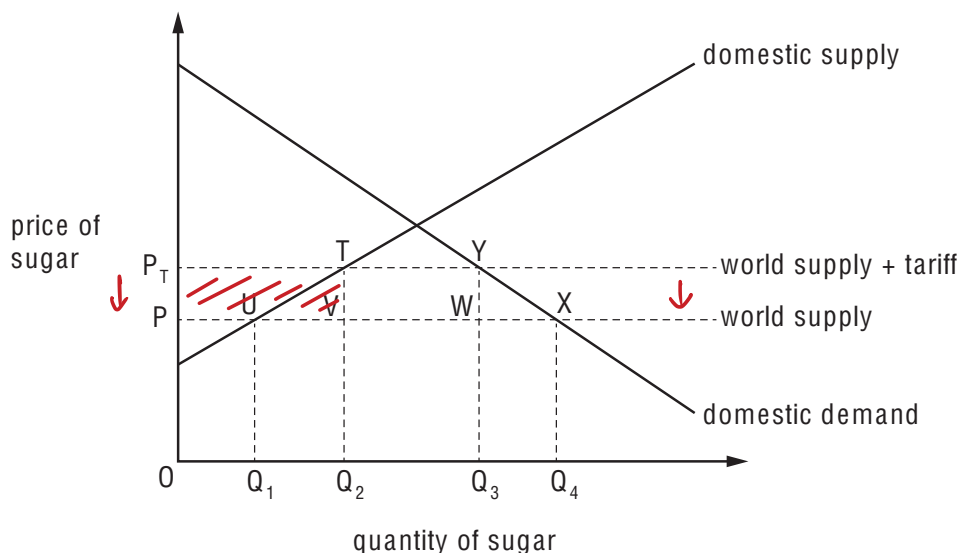
- 19 The diagrams show the production possibility curves of two countries, X and Y, both of which can produce food and clothes.



Which statement about production in the two countries is correct?

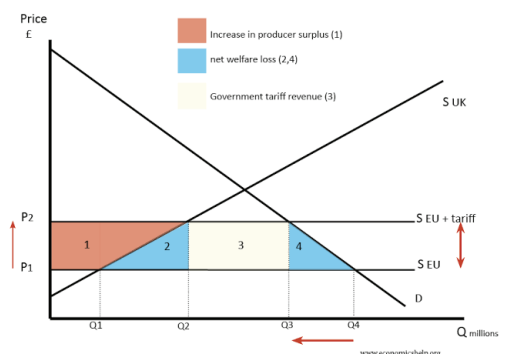
- A X has absolute advantage in clothes and Y has absolute advantage in food. ^{No}
- B X has absolute advantage in clothes and Y has comparative advantage in food. ^{No}
- C X has absolute advantage in food and Y has absolute advantage in clothes. ^{No}
- ☒ D X has absolute advantage in food and Y has comparative advantage in clothes. ^{yes}

- 20 The diagram shows the effect of removing a tariff on imports of sugar into a country.



Which area represents the loss of producer surplus for domestic producers of sugar in the country?

- A $P_T TUP$ ☒ B $P_T TVP$ C $P_T YXP$



21 What must be the result for a country of a rise in its export prices relative to its import prices?

- A a deficit in its trade in goods (Depends on PED)
 ✓ B an improvement in its terms of trade $\uparrow \text{TOT} := \frac{X \text{ prices}}{M \text{ prices}} \times 100$
 same [C an increase in its inflation rate (It's a factor, not effect)
 D a rise in its exchange rate
 $\hookrightarrow$ It's a factor, not effect

22 A country imports components which it uses in the production of electrical goods for the domestic market. The country is experiencing a rise in incomes.

What is likely to happen to the price of electrical goods and the country's balance of trade?

	price of electrical goods	balance of trade
A	fall	improve
B	fall	worsen ✓
C	rise ✓	improve
✓ D	rise ✓	worsen ✓

Income $\uparrow \Rightarrow$ Demand $\uparrow \Rightarrow$ prices $\uparrow$
 $\downarrow$
 Demand for imported goods $\uparrow$
 $\downarrow$
 BOT := worsen

23 The table gives figures for household spending in the UK economy between 2008 and 2010.

	nominal household consumption spending (£ million)	real household consumption spending (£ million)
2008	878 024	878 024
2009	858 242	846 961
2010	900 204	855 302

Inflation

0

11281

44902

What can be concluded from the figures?

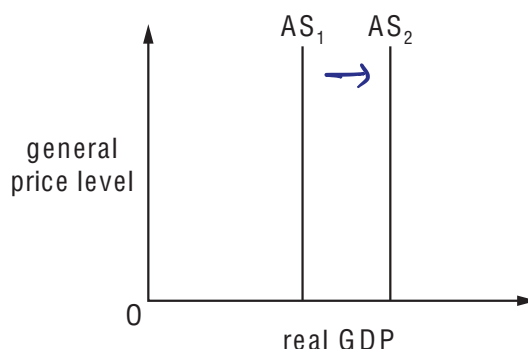
- ✓ A All households bought more goods and services in 2010 than in 2008. Inflation can understate
 ✓ B Households saved more in 2008 than in 2010. Inflation $\uparrow$, value of money $\downarrow$, won't save
 ✓ C Inflation was higher in 2010 than in 2009. Real value is reducing
 ✓ D Living standards were lower in 2009 than 2010. $\Rightarrow$ lowest in 2010

$$\text{Real } \% = \text{Nominal } \% - \text{Inflation } \%$$

11

Potential ↑

24 In the diagram AS₁ is an economy's long-run aggregate supply curve.



What will cause the aggregate supply curve to shift from AS₁ to AS₂?

- A an increase in consumer spending *C ↑, AD ↑*
 B an increase in inflation *purchasing power ↓*
 C an increase in net exports *X(TR) > M(TE) ⇒ +NX ⇒ AD ↑*
 ✓ D an increase in productivity *output ↑, AS ↑*

25 The table shows an index of consumer prices (2005 = 100) for a number of countries for 2009, 2010 and 2011.

$$\frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

Which country experienced the lowest rate of fall in the real value of money between 2009 and 2011?

		2009	2010	2011
A	Canada	107.8	108.9	112.0
B	Japan	100.3	99.6	99.3
C	Portugal	107.4	108.9	112.9
✓ D	Switzerland	104.3	104.5	104.7

3.9%

-0.9%

5.12%

0.38% (Lowest rate of rise in price level)

26 National inflation rates vary widely but they have declined for most countries in recent years.

Which combination might best explain this decline in inflation rates?

- ✗ A increased consumer expenditure and tighter control on international trade
C ↑ AD ↑ Prices ↑ *Protectionism Prices ↑*
AS ↑ surplus Prices ↓
 ✓ B increasing international competition and reduced world incomes
C ↓ AD ↓ Prices ↓
 ✗ C low interest rates and expectations of future price increases
C ↑ I ↑ AD ↑ Prices ↑
 ✗ D protectionist trade measures and a rise in raw material prices
e.g. Tariffs *Cost push inflation*

27 Why is a balance of payments deficit a potential problem for an economy with a fixed exchange rate?

- A Domestic money supply will increase.
- B Rival economies may react with trade protection measures.
- ☒ C The economy's foreign exchange reserves may decrease.
- D The economy's short-run standard of living will be reduced.

They have to artificially revalue country's currency, they will be required to sell its reserves, to increase the demand of its currency!

28 What is most likely to cause Australia's exchange rate to depreciate?

- ☒ A an increase in Australia's demand for imports $M(IE) \uparrow$, $outflow \uparrow$, $S\$ \uparrow$, Depreciate
- B an increase in Australia's interest rate $R \uparrow$, $D\$ \uparrow$, $FDI \uparrow$, Appreciate
- C an increase in demand for Australia's exports $X \uparrow$, earnings received, $D\$ \uparrow$, Appreciate
- D an increase in tourist visits to Australia $X(ITR) \uparrow$ of services, $D\$ \uparrow$, Appreciate

29 With an exchange rate of 4 Egyptian pounds (EGP) = 1 US\$, an American product sells in Egypt for EGP120.

Assuming that the dollar price remains unchanged, what will be the price of the product in Egypt if the Egyptian pound depreciates to EGP5 = 1 US\$?

- A EGP90
- B EGP96
- C EGP144
- ☒ D EGP150

$$4 \text{ EGP} = 1 \$$$

$$120 \text{ EGP} = x \$$$

$$x = 30 \$ **$$

Stage #1

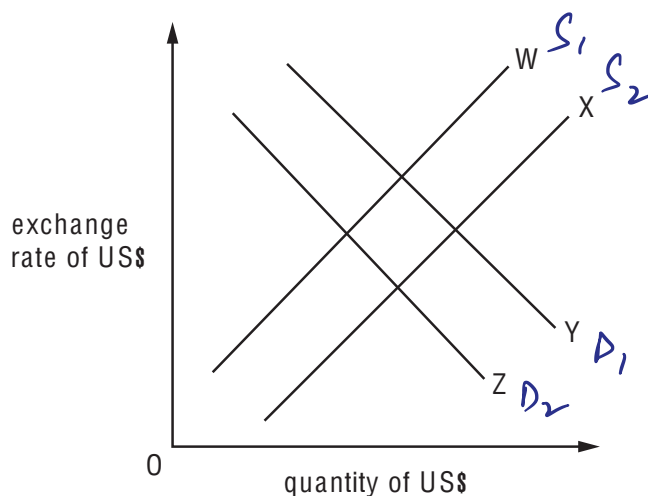
$$\text{EGP } 5 = 1 \$$$

$$\text{EGP } x = 30 \$ **$$

$$x = 150 \text{ EGP}$$

Stage #2

- 30 The US Central Bank lowers its interest rate to raise aggregate demand. This has an effect on the exchange rate of the US\$. The diagram shows the resulting changes in the demand for and supply of US\$ in the foreign exchange market.

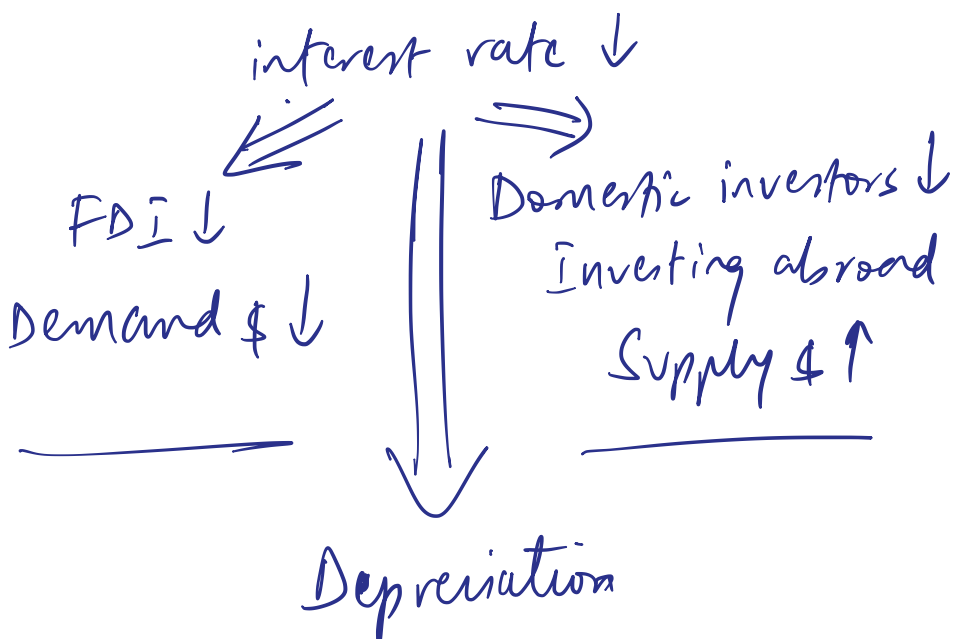


Assume a change is shown by a move from a curve numbered 1 to a curve numbered 2.

What should curves W, X, Y and Z be labelled to show the effect of the interest rate rise on the exchange rate?

	W	X	Y	Z
A	S ₁ ✓	S ₂ ✓	D ₁ ✓	D ₂ ✓
B	S ₁ ✓	S ₂ ✓	D ₂	D ₁
C	S ₂	S ₁	D ₁ ✓	D ₂ ✓
D	S ₂	S ₁	D ₂	D ₁

Interest rate and exchange rate have a positive relationship.



Copyright Acknowledgements:

Question 25 Based on data from OECD; Index of Consumer Prices; <http://stats.oecd.org>

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